

TELCO CUSTOMER CHURN ANALYSIS

MENU

Deep Dive

Overlap Analysis

Customer Explorer

Contract

All

Tenure Gro...

All

MonthlyCh...

All

7043

Total Customers

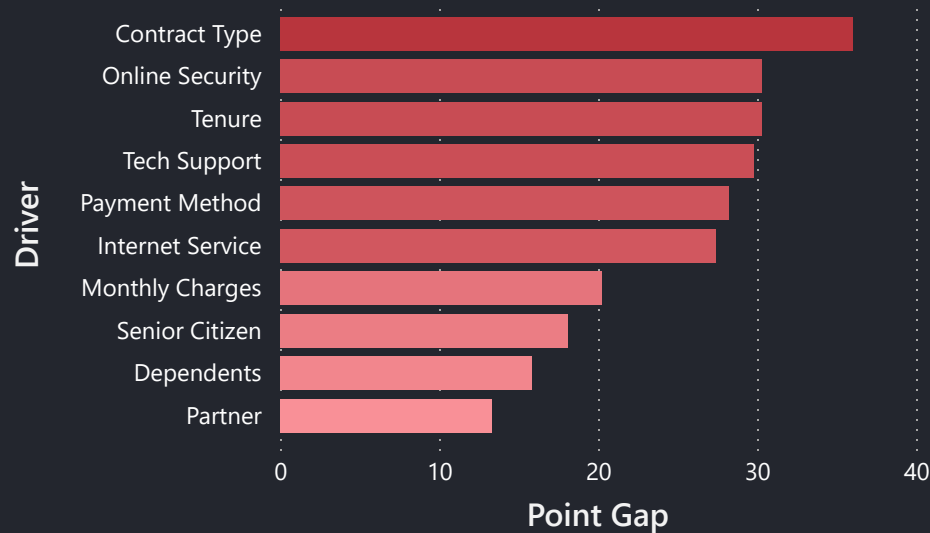
26.5%

Customer Churn Rate

36.0

Contract Type Churn Gap

Attrition Risk Factors Ranked By Percentage Point Gap



Analysis of 7,043 telecom customers to identify the strongest drivers of customer churn.

Contract Type emerged as the central driver.

Recommendations

1. Converting month-to-month customers to longer contracts.
2. Investigating pricing and value perception of Fiber optic internet.
3. Encouraging automatic payment methods over electronic check.

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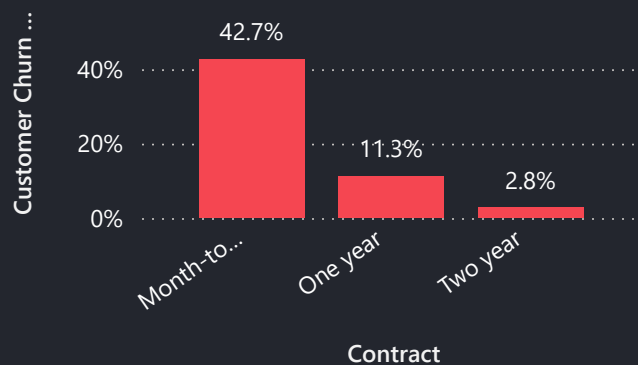
All

MonthlyCh...

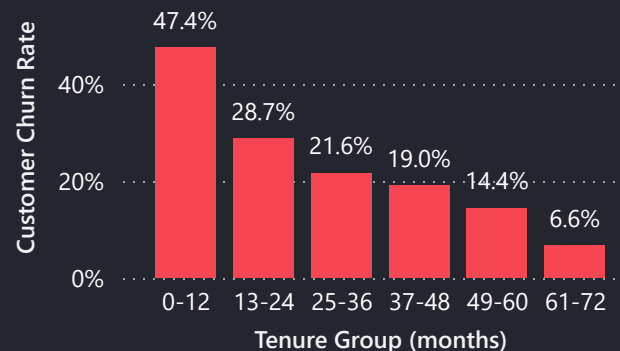
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DRIVER DEEP-DIVE

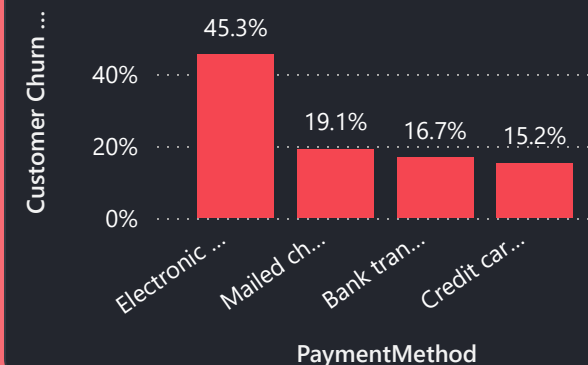
Customer Churn Rate by Contract



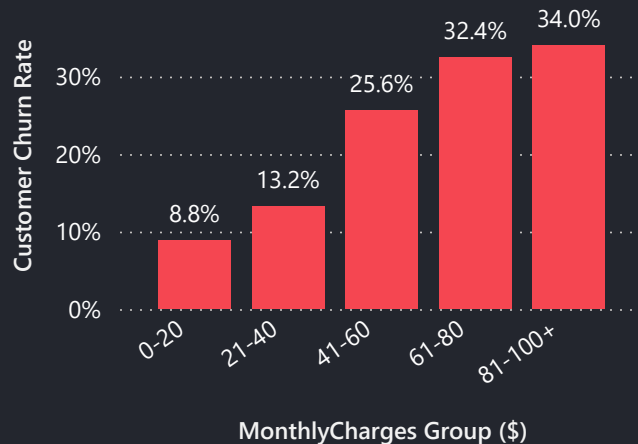
Customer Churn Rate by Tenure Group (months)



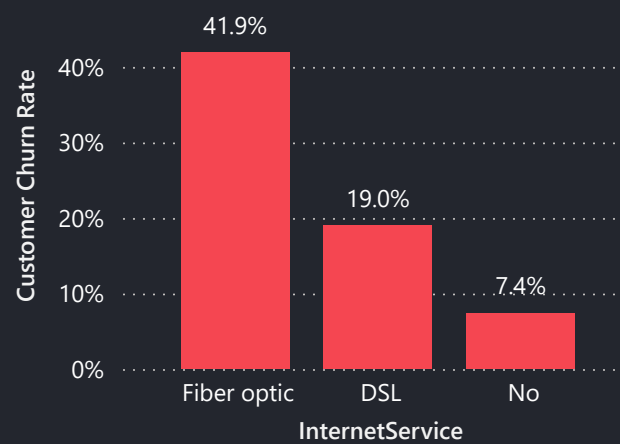
Customer Churn Rate by PaymentMethod



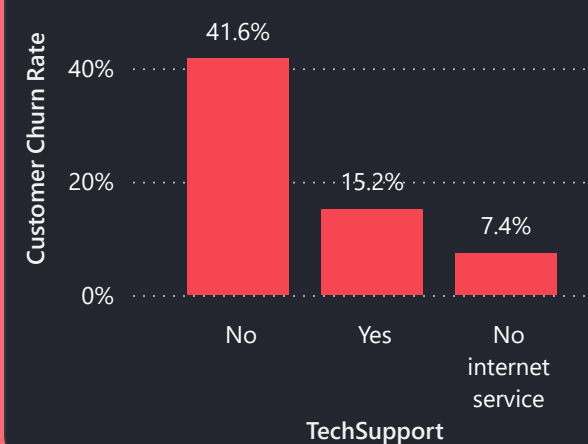
Customer Churn Rate by MonthlyCharges Group (\$)



Customer Churn Rate by InternetService



Customer Churn Rate by TechSupport



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OVERLAP ANALYSIS

The visuals below test whether the drivers identified on the previous page are independent of each other, or whether they are describing overlapping groups of customers.

Tenure Group (months)	Month-to-month	One year	Two year	Total
0-12	1994	124	68	2186
13-24	737	197	90	1024
25-36	486	250	96	832
37-48	316	268	178	762
49-60	234	321	277	832
61-72	108	313	986	1407
Total	3875	1473	1695	7043

91.2% of new customers (0-12 months) are on month-to-month contracts.

PaymentMethod	Month-to-month	One year	Two year	Total
Bank transfer (automatic)	589	391	564	1544
Credit card (automatic)	543	398	581	1522
Electronic check	1850	347	168	2365
Mailed check	893	337	382	1612
Total	3875	1473	1695	7043

47.7% of month-to-month customers pay using electronic check, compared to 9.9% of two-year

MonthlyCharges Group	DSL	Fiber optic	No	Total
0-20			656	656
21-40	312		870	1182
41-60	1080			1080
61-80	753	706		1459
81-100+	276	2390		2666
Total	2421	3096	1526	7043

77.2% of Fiber Optic customers are in the \$81+ price bracket.

Contract	No	No internet service	Yes	Total
Month-to-month	2680	524	671	3875
One year	557	364	552	1473
Two year	236	638	821	1695
Total	3473	1526	2044	7043

69.2% of month-to-month customers have no Tech Support, compared to 13.9% of two-year customers.

CUSTOMER EXPLORER

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Tenure Gro...

All

MonthlyCh...

All

customerID	Contract	tenure	MonthlyCharges	InternetService	PaymentMethod	Churn
0002-ORFBO	One year	9	65.60	DSL	Mailed check	No
0003-MKNFE	Month-to-month	9	59.90	DSL	Mailed check	No
0004-TLHLJ	Month-to-month	4	73.90	Fiber optic	Electronic check	Yes
0011-IGKFF	Month-to-month	13	98.00	Fiber optic	Electronic check	Yes
0013-EXCHZ	Month-to-month	3	83.90	Fiber optic	Mailed check	Yes
0013-MHZWF	Month-to-month	9	69.40	DSL	Credit card (automatic)	No
0013-SMEOE	Two year	71	109.70	Fiber optic	Bank transfer (automatic)	No
0014-BMAQU	Two year	63	84.65	Fiber optic	Credit card (automatic)	No
0015-UOCOJ	Month-to-month	7	48.20	DSL	Electronic check	No
0016-QLJIS	Two year	65	90.45	DSL	Mailed check	No
0017-DINOC	Two year	54	45.20	DSL	Credit card (automatic)	No
0017-IUDMW	Two year	72	116.80	Fiber optic	Credit card (automatic)	No
0018-NYROU	Month-to-month	5	68.95	Fiber optic	Electronic check	No
0019-EFAEP	Two year	72	101.30	Fiber optic	Bank transfer (automatic)	No
0019-GFNTW	Two year	56	45.05	DSL	Bank transfer (automatic)	No
0020-INWCK	Two year	71	95.75	Fiber optic	Credit card (automatic)	No
0020-JDNXP	One year	34	61.25	DSL	Mailed check	No
0021-IKXGC	Month-to-month	1	72.10	Fiber optic	Electronic check	No

Total